Driver-Based Expense Allocation in Oracle EPCM

1. Introduction

This document demonstrates the implementation of a **driver-based cost allocation model** in Oracle Enterprise Profitability and Cost Management (EPCM). The objective is to allocate corporate occupancy-related expenses such as **Rent and Utilities** to business cost centres using a logical and proportionate allocation methodology.

The exercise covers the complete lifecycle including:

- Model creation
- Rule set configuration
- Allocation rule execution
- Validation of results

2. Business Scenario

Organizations often incur shared costs at a centralized level (e.g., corporate office). These costs must be allocated to various departments or business units to reflect accurate profitability.

In this scenario:

- Corporate departments incur **Rent and Utilities expenses**
- These costs are allocated to business units
- Allocation is based on **Occupancy Square Feet (Sq Ft)** as the driver

3. Objective

- Allocate occupancy-related costs from corporate cost centers
- Apply **pre-allocation adjustment** on utilities expense
- Use **driver-based allocation (Sq Ft)**
- Validate allocation results post execution

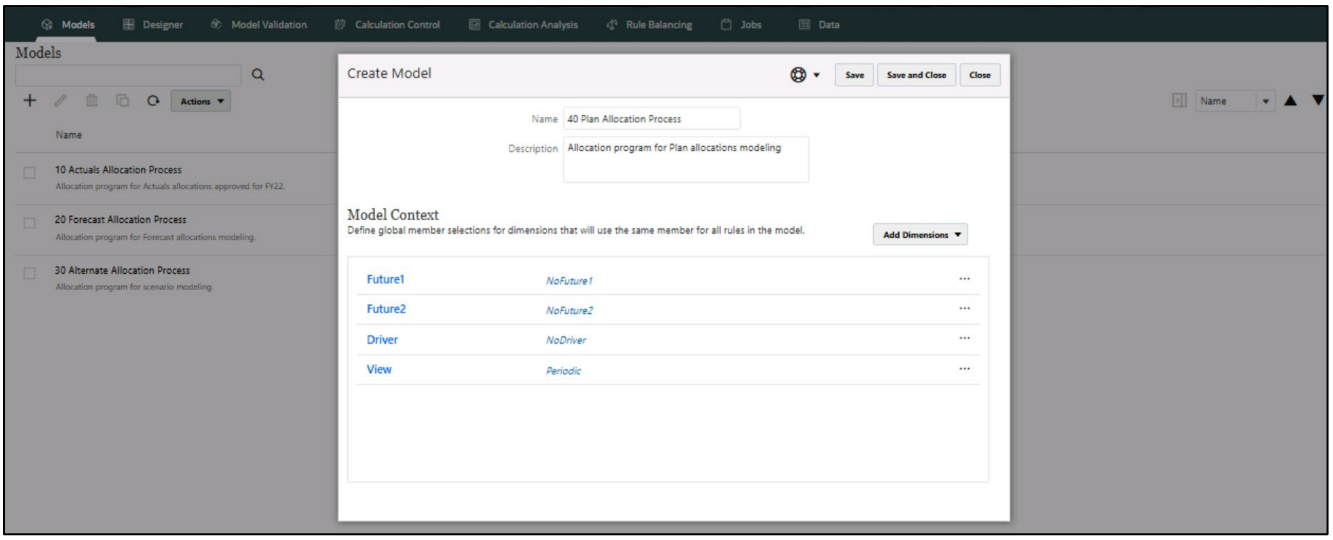
4. Model Creation

Step 1: Create Model

A profitability model is created to define how costs flow from source to target intersections.

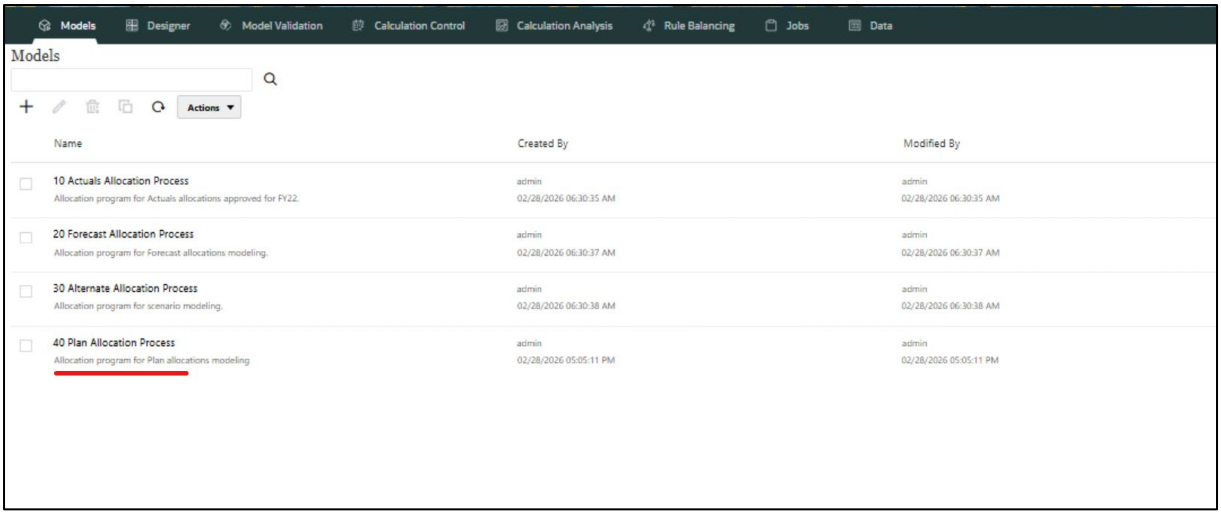
Purpose:

- Establish calculation framework
- Enable rule execution and allocation logic
- Define dimensional structure



Step 2: Model Confirmation

The model is successfully created and available for rule configuration.



---

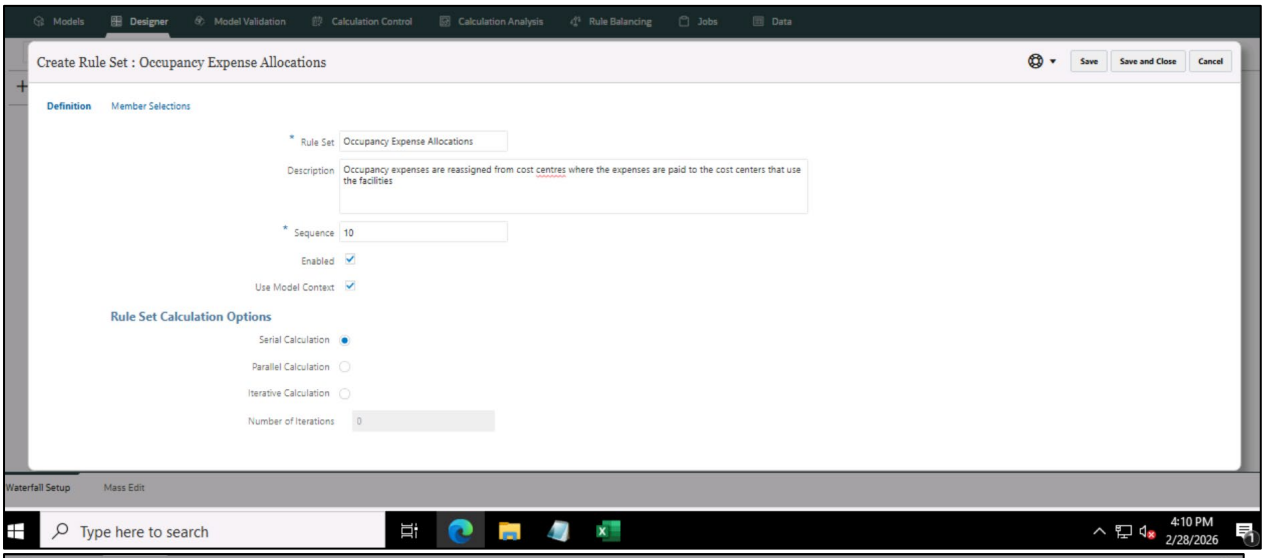
5. Rule Set Configuration

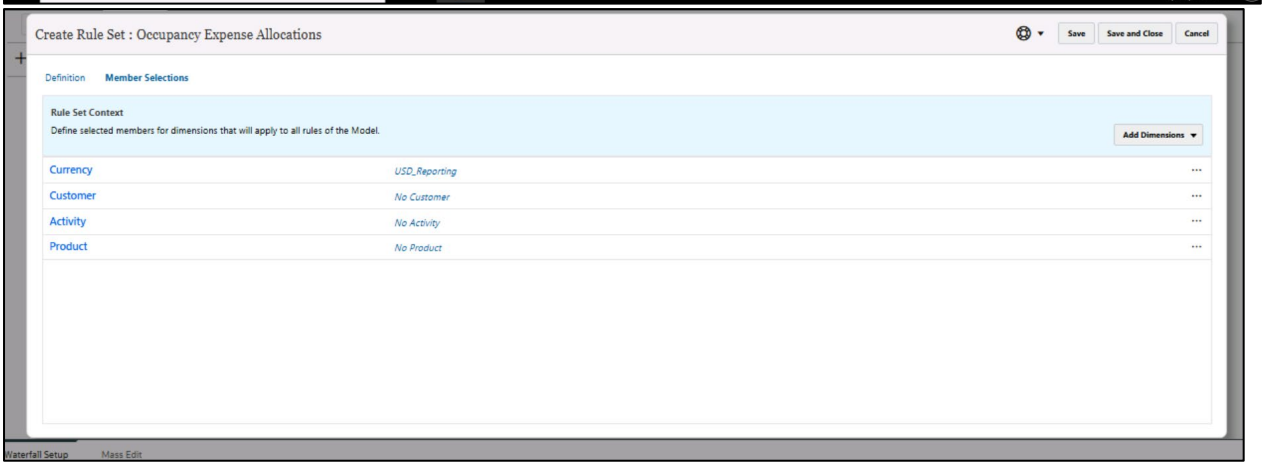
Step 3: Create Rule Set

A rule set is created to logically group allocation rules.

Purpose:

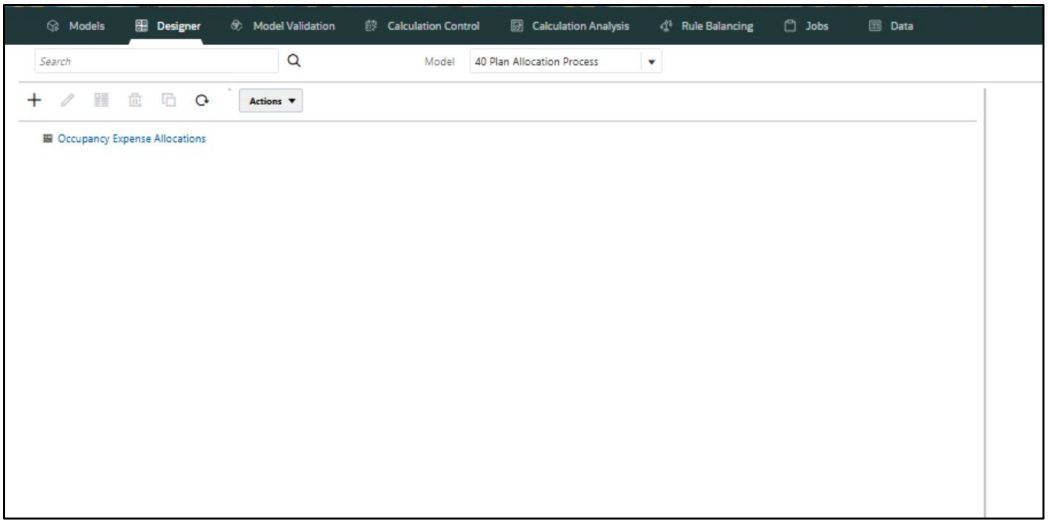
- Organize execution sequence
- Control dependency between rules





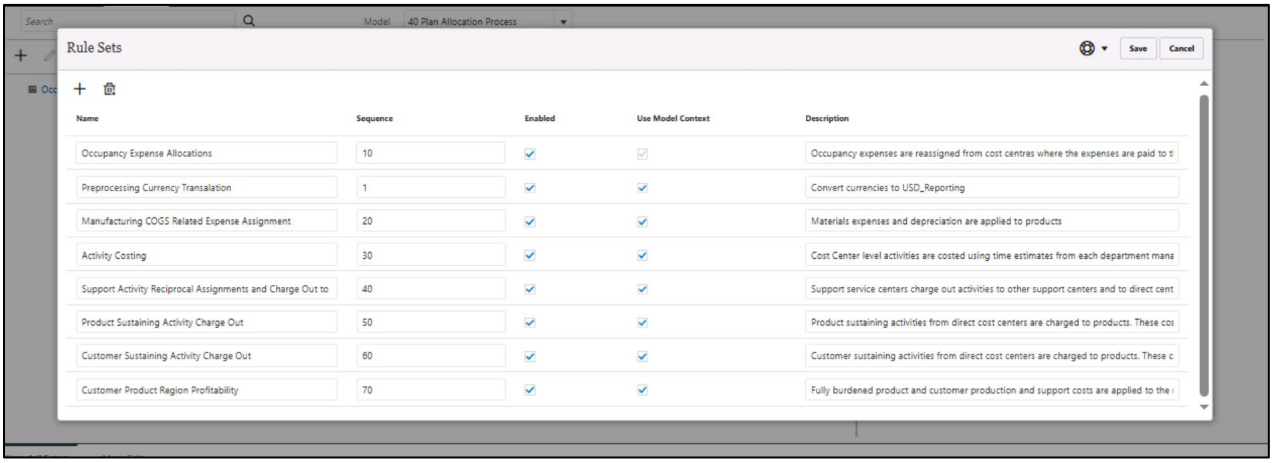
Step 4: Rule Set Created

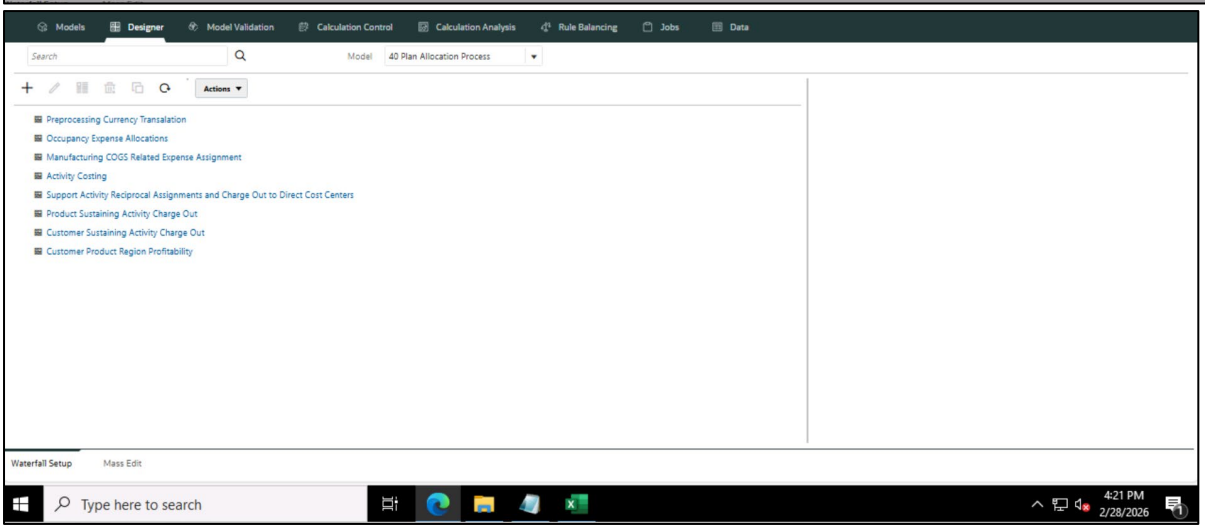
The rule set is successfully created.



Step 5: Multiple Rule Sets Creation

Multiple rule sets are created to handle different allocation scenarios.





Step 6: Rule Set Details

Detailed configuration of rule sets including execution order.

Sequence	Name	Description	Enabled	Use Model Context	Calculation Option	Rule Set Context Member Selections
1	Preprocessing Currency Translation	Convert currencies to USD_Reporting	Y	Y	Serial	(none)
10	Occupancy Expense Allocations	Occupancy expenses are reassigned from cost centers where the expenses are paid to the cost centers that use the facilities.	Y	Y	Serial	Activity: No Activity Customer: No Customer Product: No Product Currency: USD_Reporting
20	Manufacturing COGS Related Expense Assignment	Materials expenses and depreciation are applied to products	Y	Y	Serial	Activity: No Activity Customer: No Customer Currency: USD_Reporting
30	Activity Costing	Cost Center level activities are costed using time estimates from each department manager.	Y	Y	Serial	Product: No Product Customer: No Customer Currency: USD_Reporting
40	Support Activity Reciprocal Assignments and Charge Out to Direct Cost Centers	Support service centers charge out activities to other support centers and to direct centers. The reciprocal relationships are resolved using multiple iterations of the rules to drive all costs out of the reciprocal support network to the direct cost centers.	Y	Y	Iterative Number of iterations: 7	Customer: No Customer Product: No Product Currency: USD_Reporting
50	Product Sustaining Activity Charge Out	Product sustaining activities from direct cost centers are charged to products. These costs include the shared service center charges.	Y	Y	Serial	Customer: No Customer Currency: USD_Reporting
60	Customer Sustaining Activity Charge Out	Customer sustaining activities from direct cost centers are charged to products. These costs include the shared service center charges.	Y	Y	Parallel	Product: No Product Currency: USD_Reporting
70	Customer Product Region Profitability	Fully burdened product and customer production and support costs are applied to the market analysis intersections where profitability is analyzed. No rule set context is required as all dimensions except those covered by Global Context are now included in all rules. The result of this rule set produces a fully dimensionalized P&L capability.	Y	Y	Serial	(none)

---

6. Currency Translation Rules

Step 7: Currency Conversion Setup

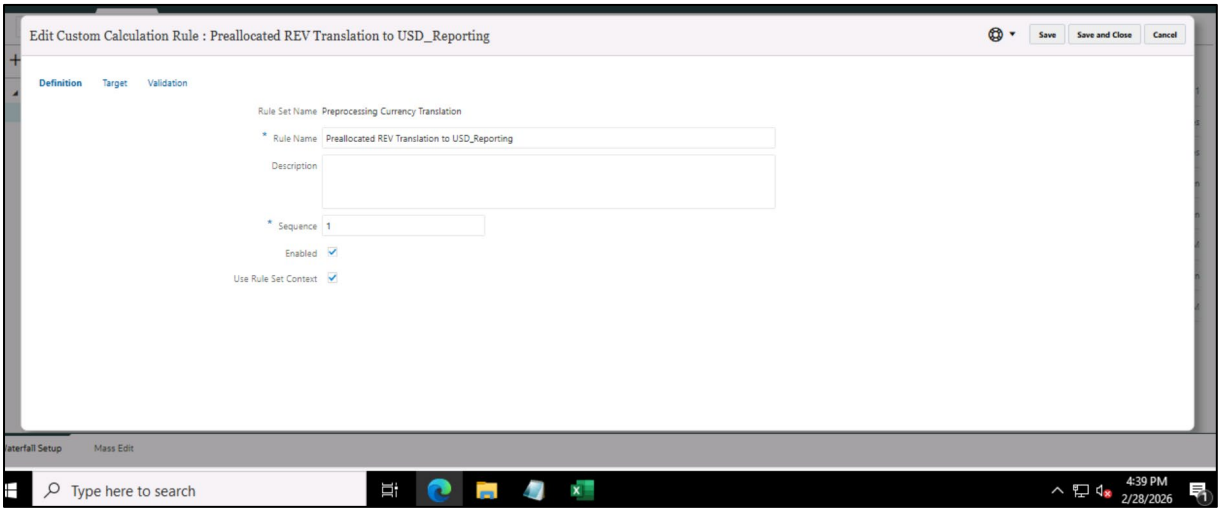
Currency translation rules are created to convert:

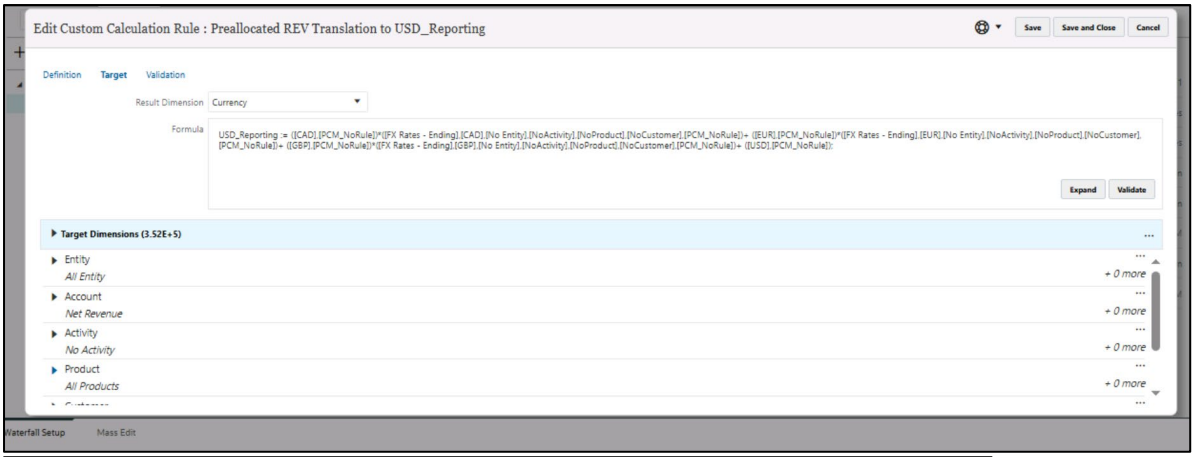
- Revenue
- COGS
- OPEX
- Drivers
- Statistical data

From input currency to **USD Reporting Currency**

Purpose:

- Ensure consistency in reporting currency
- Enable cross-region comparison





---

7. Allocation Rule Design

Step 8: Occupancy Expense Allocation Rule Set

Two rules are created under this rule set:

Rule 1: Utilities Expense Adjustment

Purpose:

Adjust utilities expense by 15% before allocation.

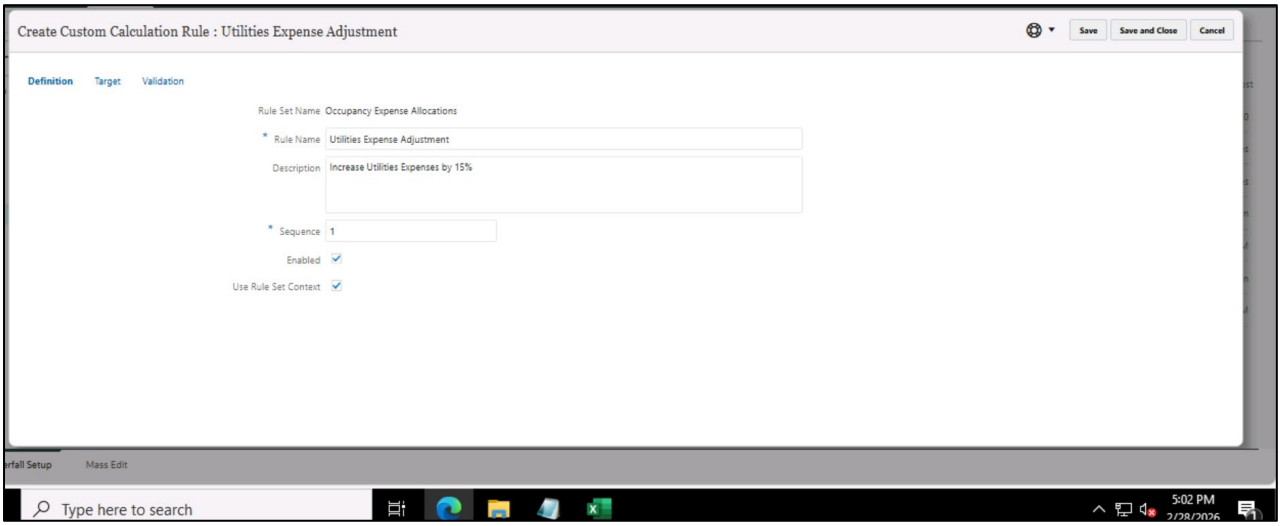
Logic:

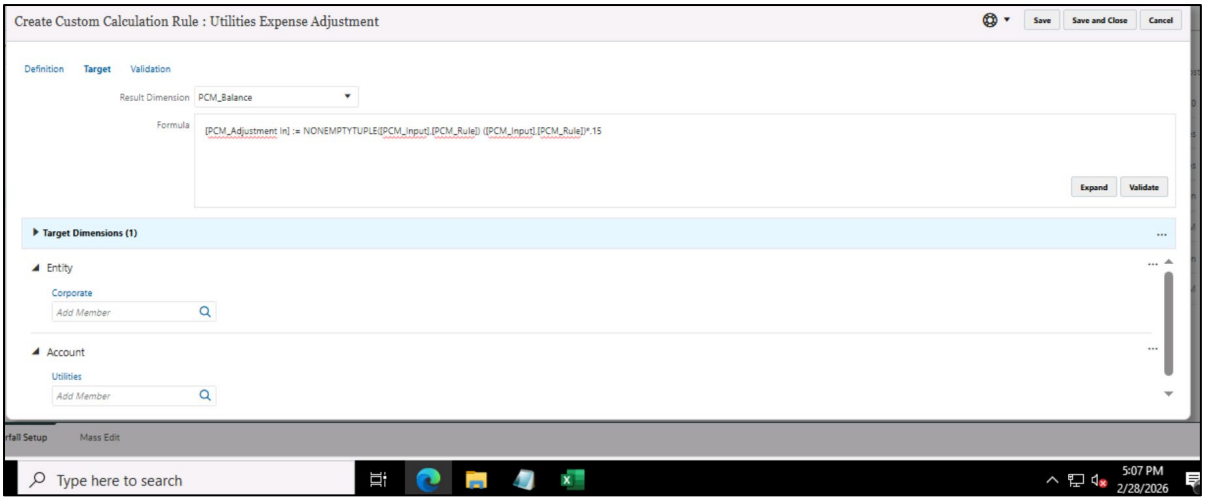
Adjusted Utilities = Base Utilities × 1.15

Business Justification:

This adjustment accounts for:

- Overheads
- Inflationary impact
- Estimated additional costs





Rule 2: Rent and Utilities Allocation

Purpose:

Allocate corporate rent and utilities expenses to business units.

Driver Used:

Occupancy Square Feet (Sq Ft)

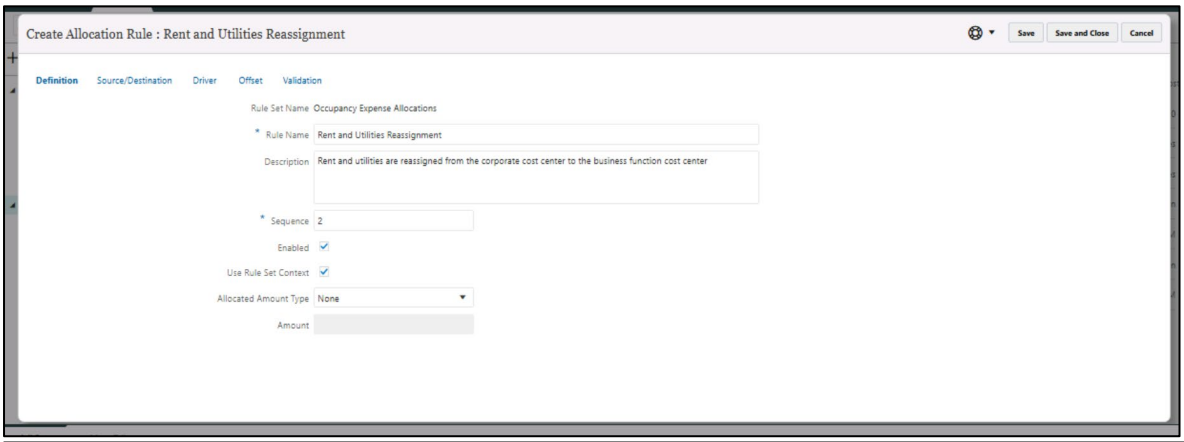
Logic:

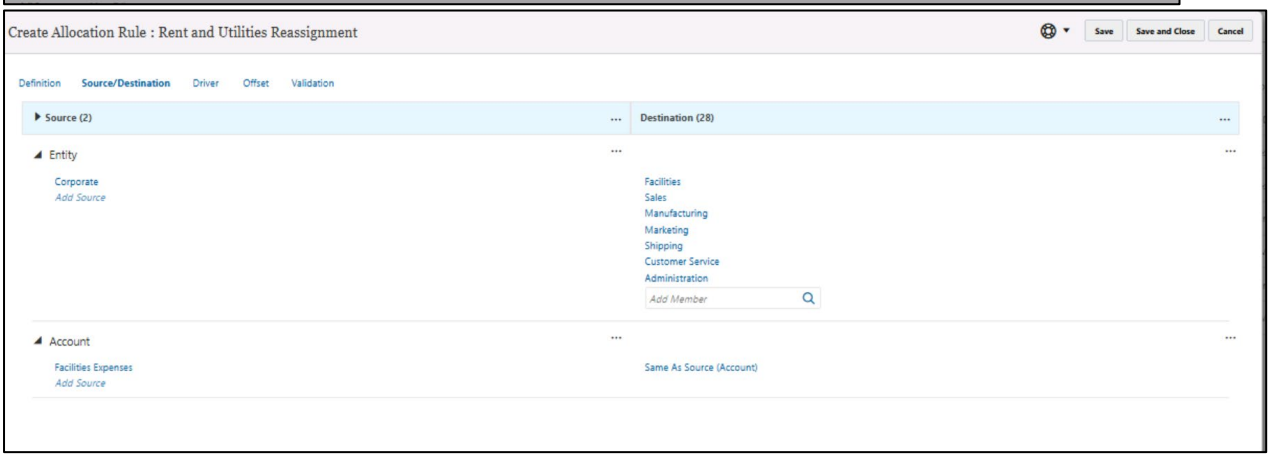
Allocation % = BU Sq Ft / Total Sq Ft

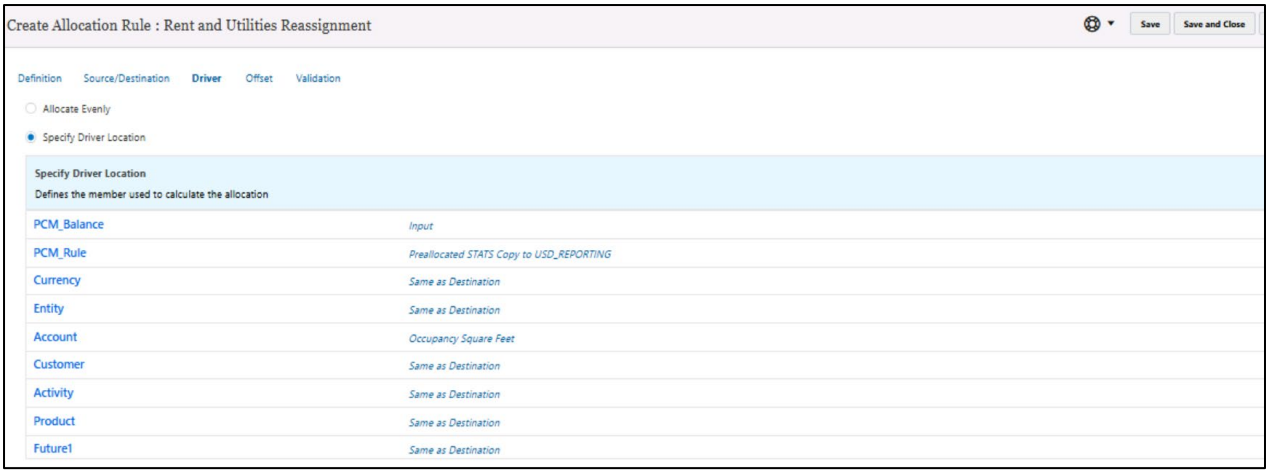
Allocated Cost = Source Cost × Allocation %

Business Justification:

- Ensures fair distribution based on space utilization
- Widely used in cost accounting practices

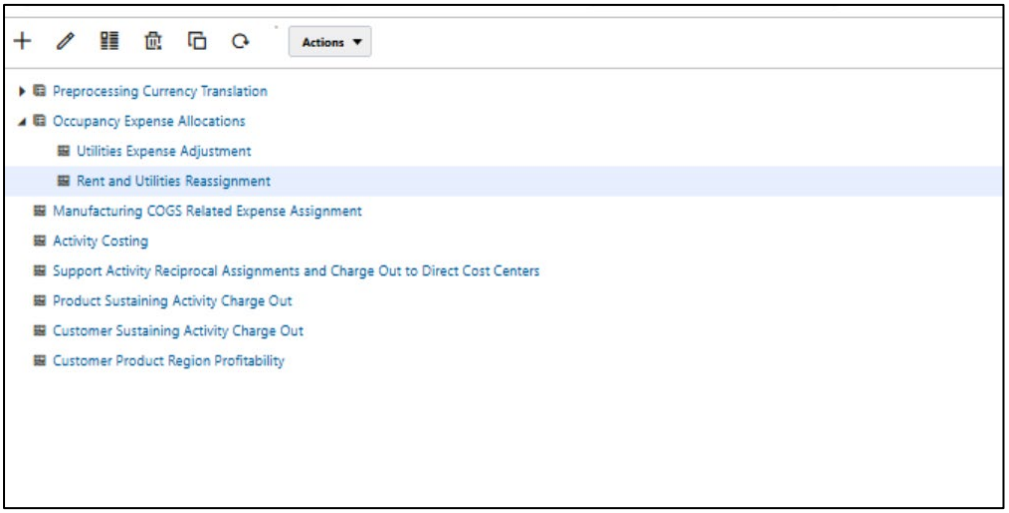






Step 9: Rule Confirmation

Both rules are successfully created and assigned to the rule set.

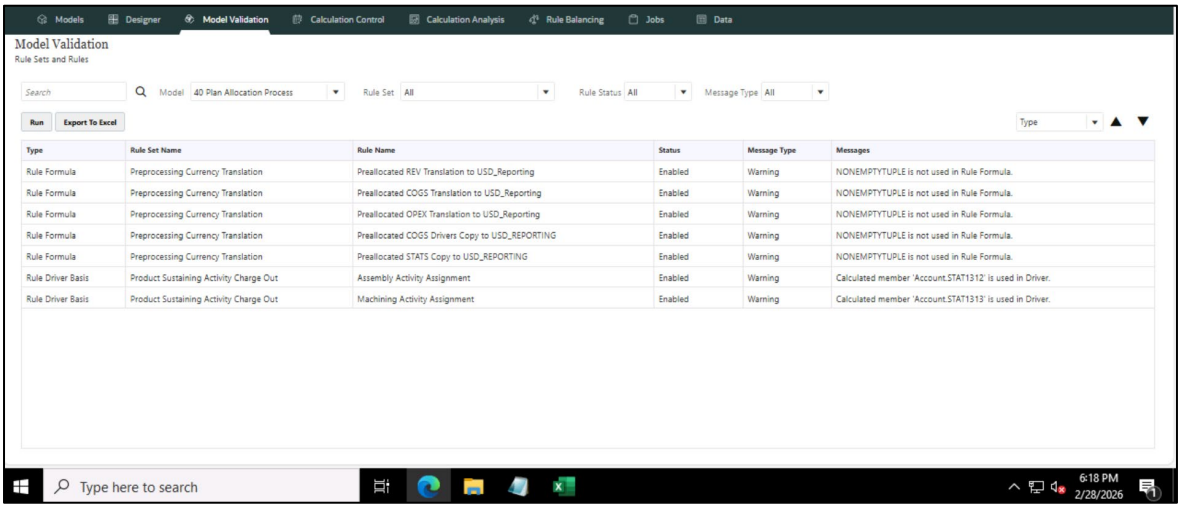


8. Model Validation

Step 10: Model Validation

The model is validated to ensure:

- No configuration errors
- Rules are correctly defined
- Dependencies are properly aligned

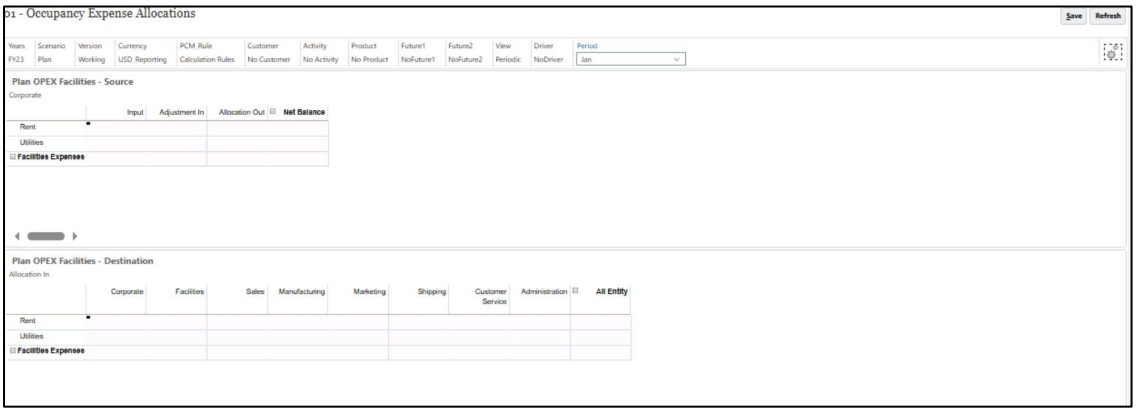


9. Execution and Testing

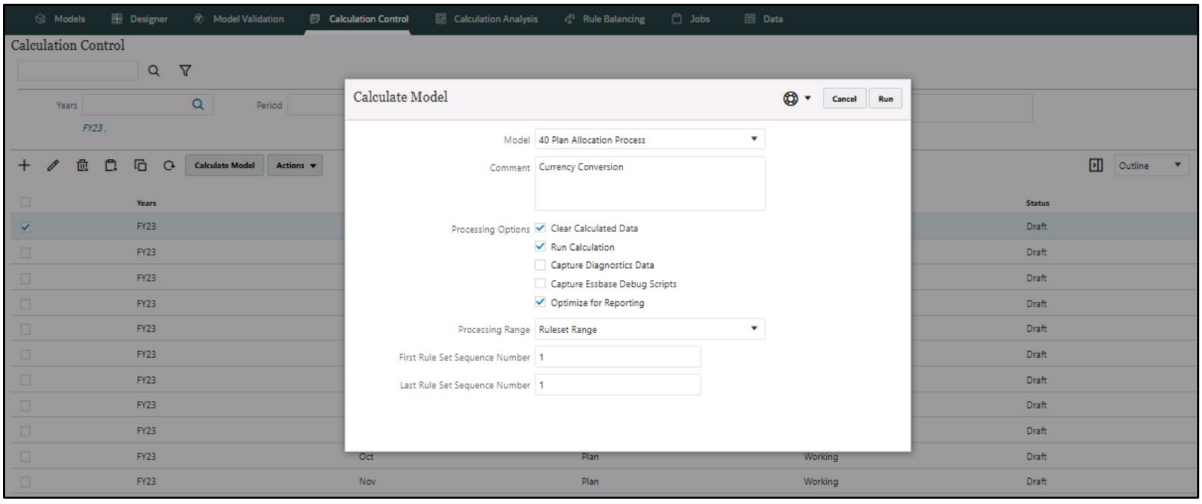
Phase 1: Currency Conversion Execution

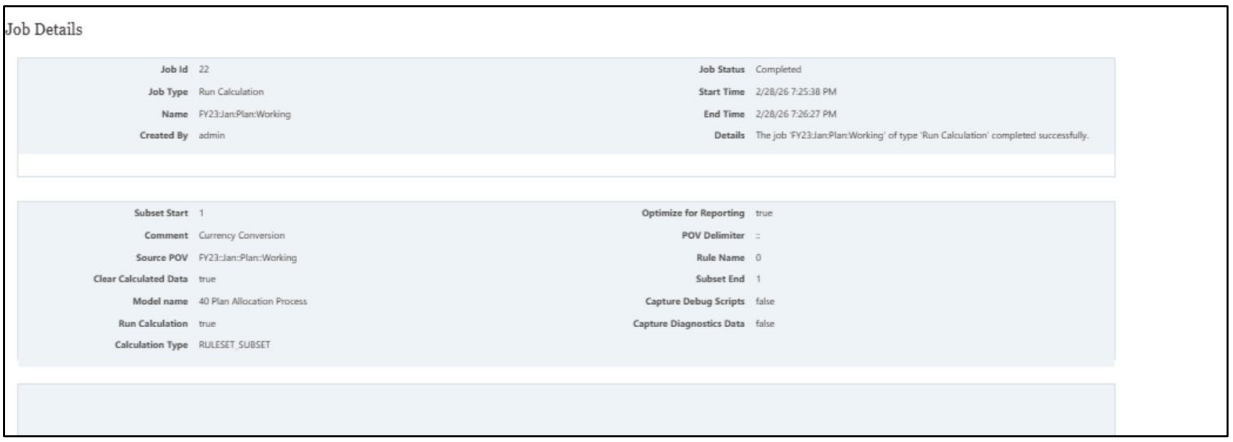
Step 11: Before Currency Rule Execution

No data is available in **USD Reporting currency**



Step 12: Run Currency Translation Rule Set 1



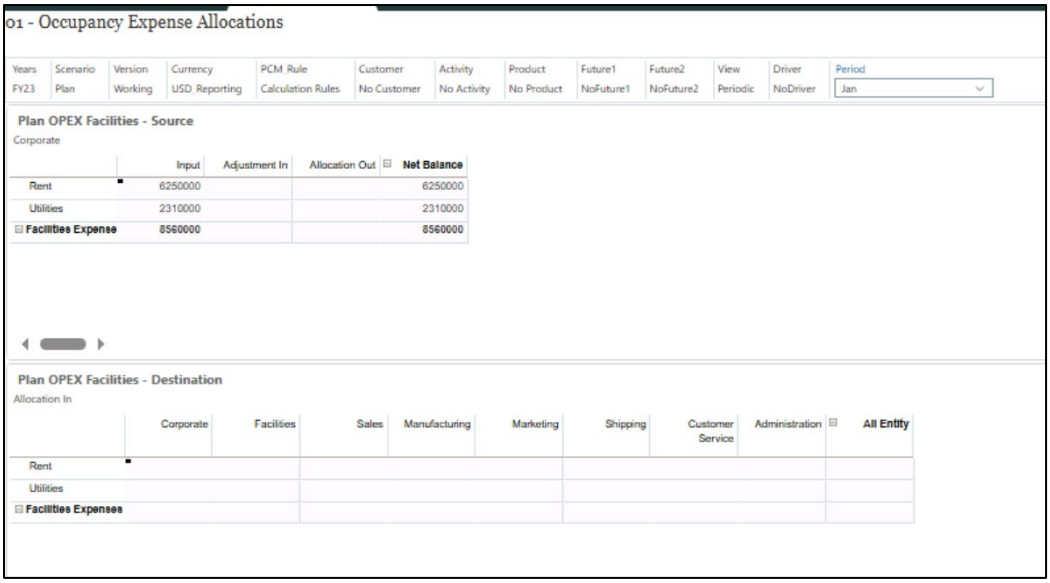


Step 13: After Currency Conversion

Data is now populated in USD_Reporting currency.

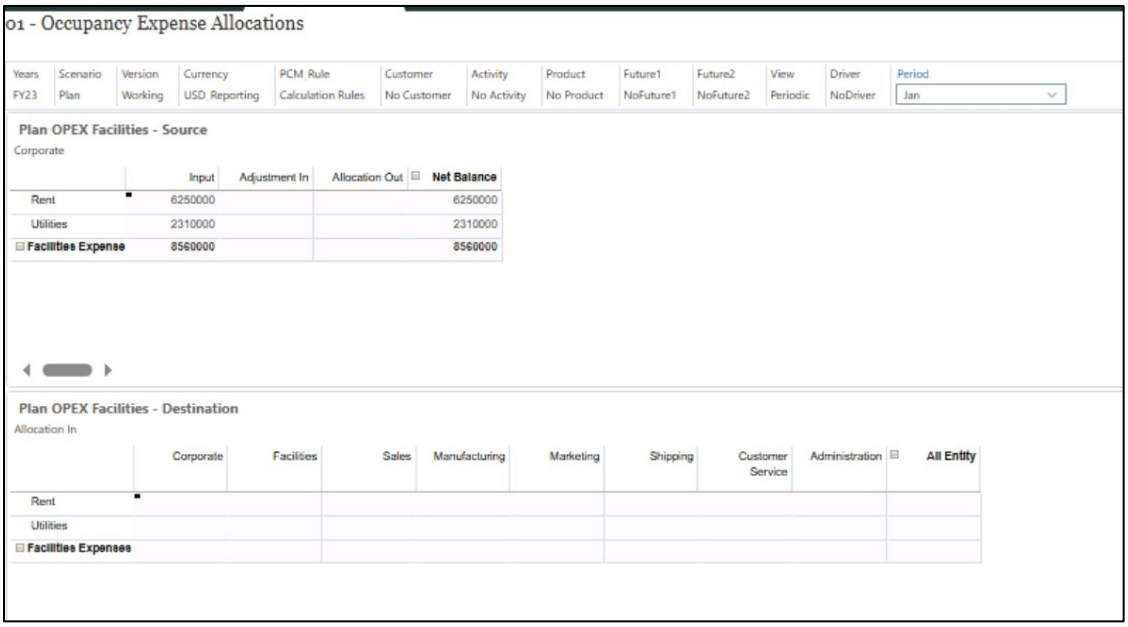
Validation performed:

- Converted values reflect source data
- Currency rates applied correctly



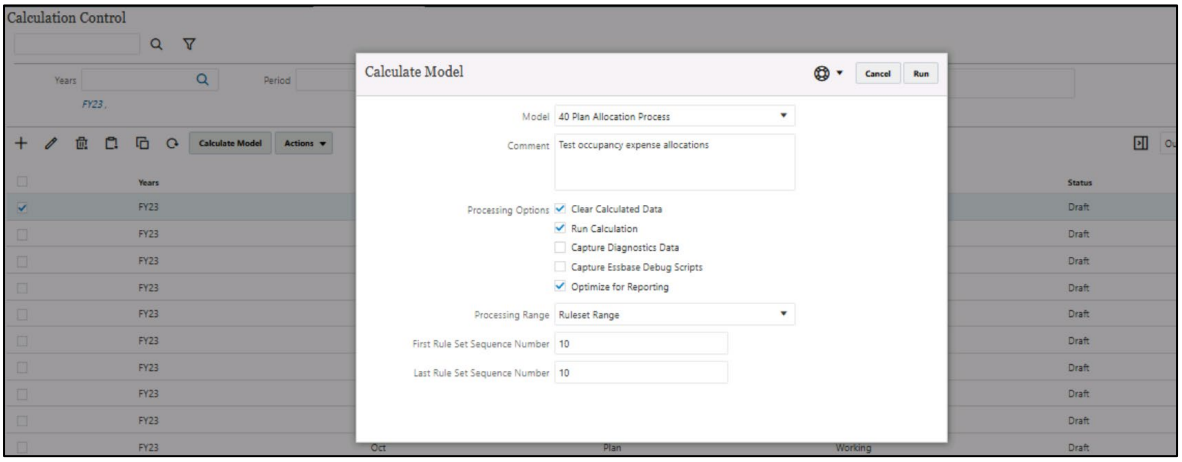
Phase 2: Allocation Execution

Step 14: Pre-Allocation State



Step 15: Execute Occupancy Allocation Rule Set

Allocation rule set 10 is executed.



Job Details

Job Id	23	Job Status	Completed
Job Type	Run Calculation	Start Time	2/28/26 7:30:56 PM
Name	FY23:Jan:Plan:Working	End Time	2/28/26 7:31:39 PM
Created By	admin	Details	The job 'FY23:Jan:Plan:Working' of type 'Run Calculation' completed successfully.

Subset Start	10	Optimize for Reporting	true
Comment	Test occupancy expense allocations	POV Delimiter	::
Source POV	FY23::Jan::Plan::Working	Rule Name	0
Clear Calculated Data	true	Subset End	10
Model name	40 Plan Allocation Process	Capture Debug Scripts	false
Run Calculation	true	Capture Diagnostics Data	false
Calculation Type	RULESET_SUBSET		

Step 16: Post-Execution Results

After execution:

- Utilities adjusted by 15% and amount is reflecting in Adjustment In
- Rent and utilities distributed across business units
- Allocation based on Sq Ft driver

01 - Occupancy Expense Allocations

Years	Scenario	Version	Currency	PCM_Rule	Customer	Activity	Product	Future1	Future2	View	Driver	Period
FY23	Plan	Working	USD_Reporting	Calculation Rules	No Customer	No Activity	No Product	NoFuture1	NoFuture2	Periodic	NoDriver	Jan

Plan OPEX Facilities - Source

Corporate

	Input	Adjustment In	Allocation Out	Net Balance
Rent	6250000		-6250000	0
Utilities	2310000	346500	-2656500	0
Facilities Expenses	8560000	346500	-8906500	0

Plan OPEX Facilities - Destination

Allocation In

	Corporate	Facilities	Sales	Manufacturing	Marketing	Shipping	Customer Service	Administration	All Entity
Rent		152027.03	304054.06	4054054.04	168918.92	675675.68	253378.38	641891.89	6250000.00
Utilities		64617.57	129235.14	1723135.12	71797.3	287189.19	107695.95	272829.73	2656500
Facilities Expense		216644.6	433289.2	5777189.16	240716.22	962864.87	361074.33	914721.62	8906500

10. Results Analysis

Before Allocation

- Costs remain at corporate level
- No distribution across business units

After Allocation

- Costs are distributed proportionally
- Allocation reflects occupancy-based driver
- Target cost centers now carry appropriate expense

---

11. Validation Checks

The following validations were performed:

- Total cost before = Total cost after allocation
- Allocation percentages applied correctly
- Driver data used accurately
- Currency conversion applied successfully

---

12. Key Learnings

- Understanding of EPCM allocation framework
- Importance of **driver-based costing**
- Role of **rule sequencing** (adjustment before allocation)
- Practical implementation of allocation logic
- Importance of validation and reconciliation

---

13. Conclusion

This exercise demonstrates how Oracle EPCM enables organizations to perform structured and scalable cost allocations using driver-based methodologies. Such allocation models are essential for accurate profitability analysis, cost transparency, and informed decision-making.

---

14. Enhancement Opportunity

Allocation outcomes may vary significantly depending on the driver used.
For example:

- Using **Revenue-based driver** instead of Sq Ft
- Using **Headcount-based allocation**

This highlights the importance of selecting the right driver for business relevance.

This document is created by Surendra Agrawal on 1 March 2026